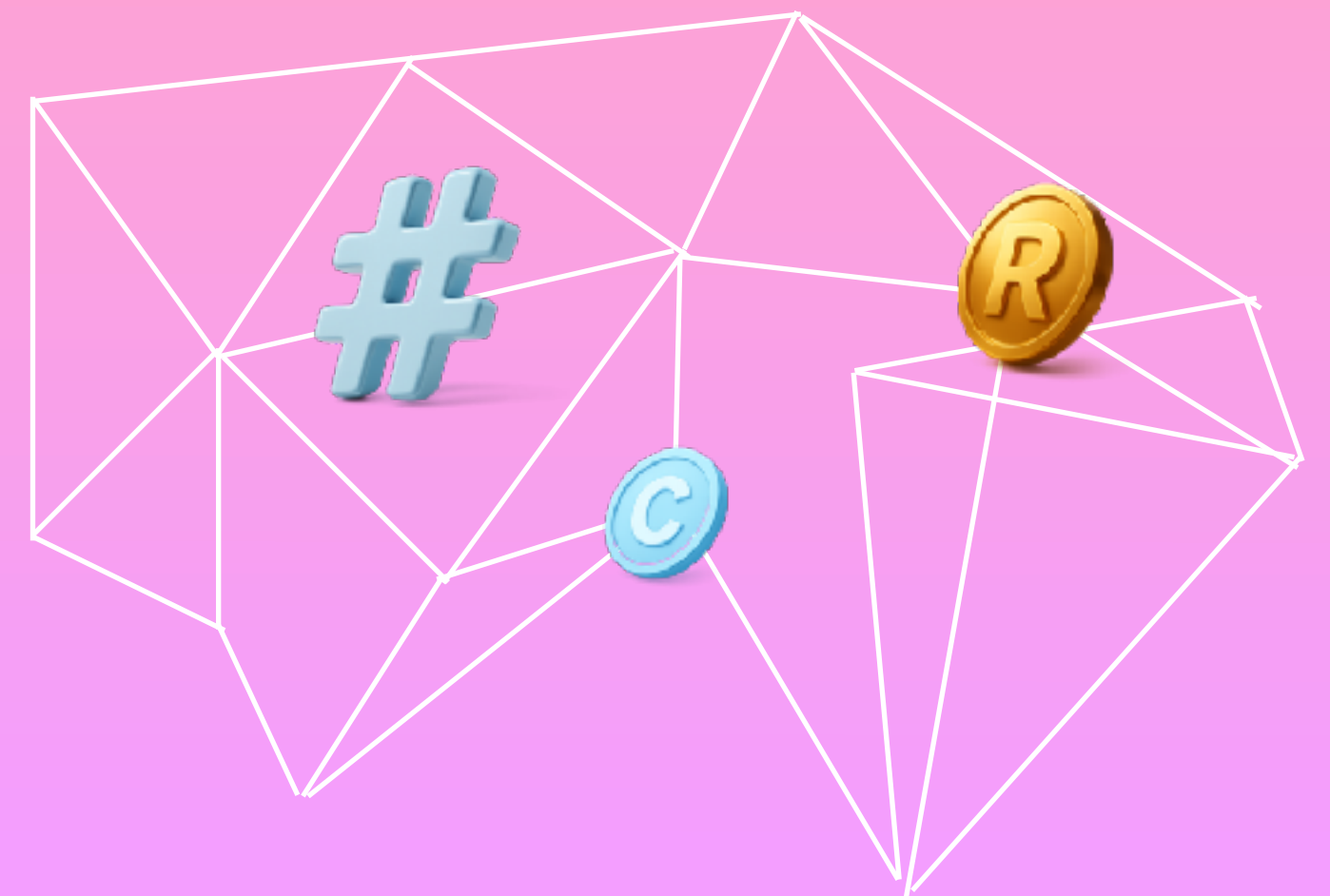




Craters: Marketplace for Hashtags (#): Tag → Earn → Resell

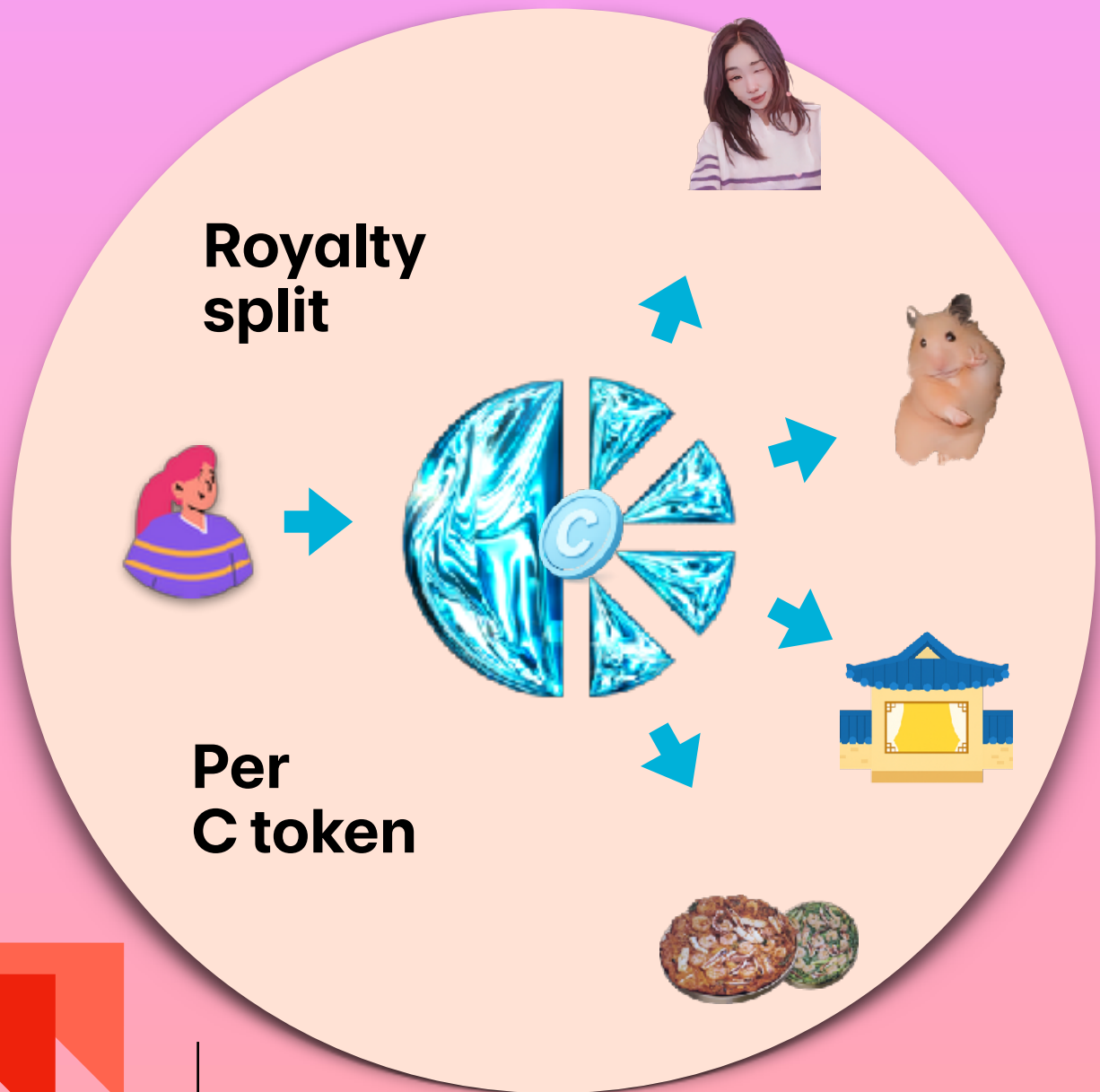
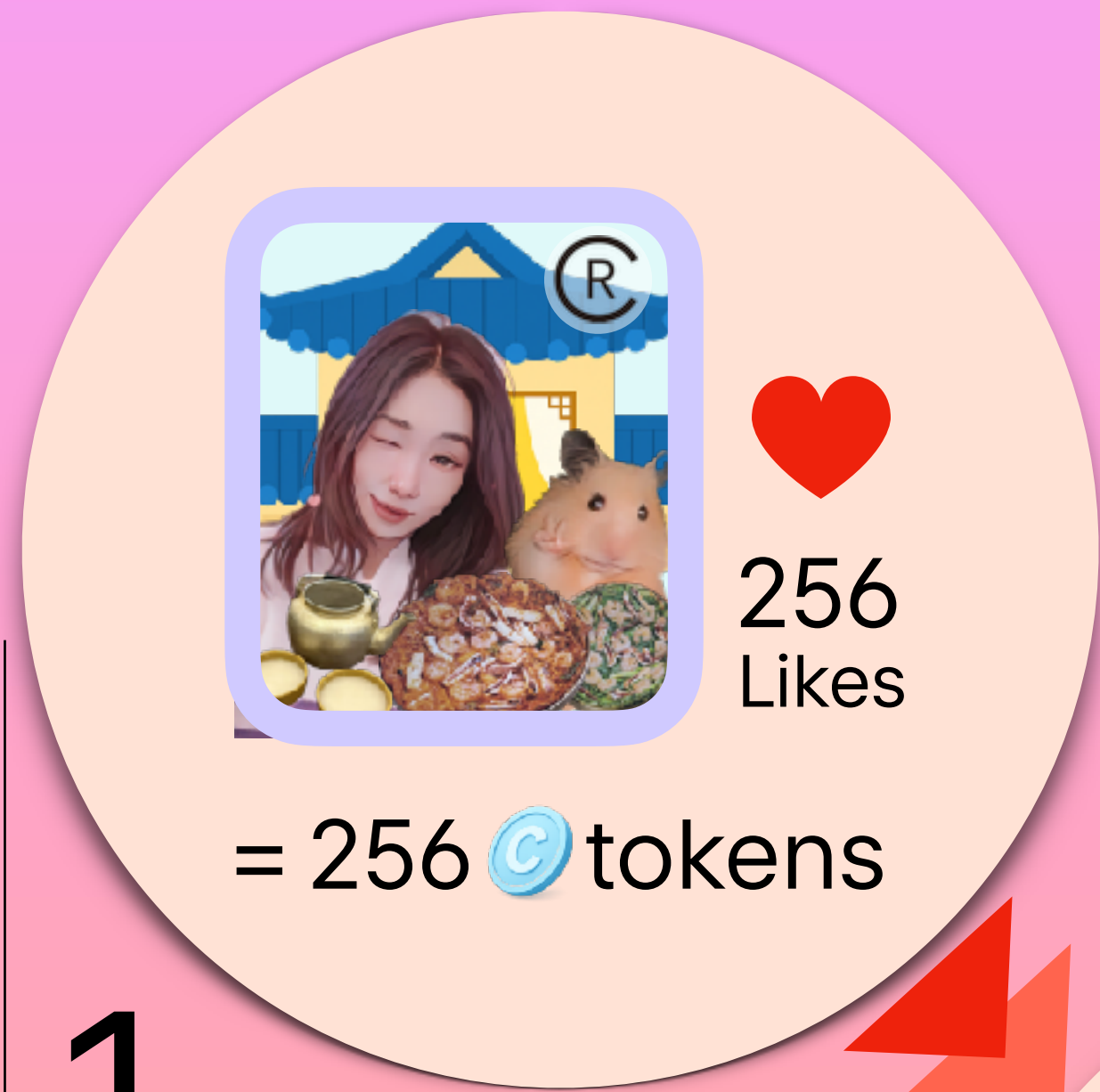
Price-managed R economy tied to receipts
Digital economy 3.0

CRATERS | NOV 2025



Tag → Earn

Sample story 1 — How everyday likes become royalties



4

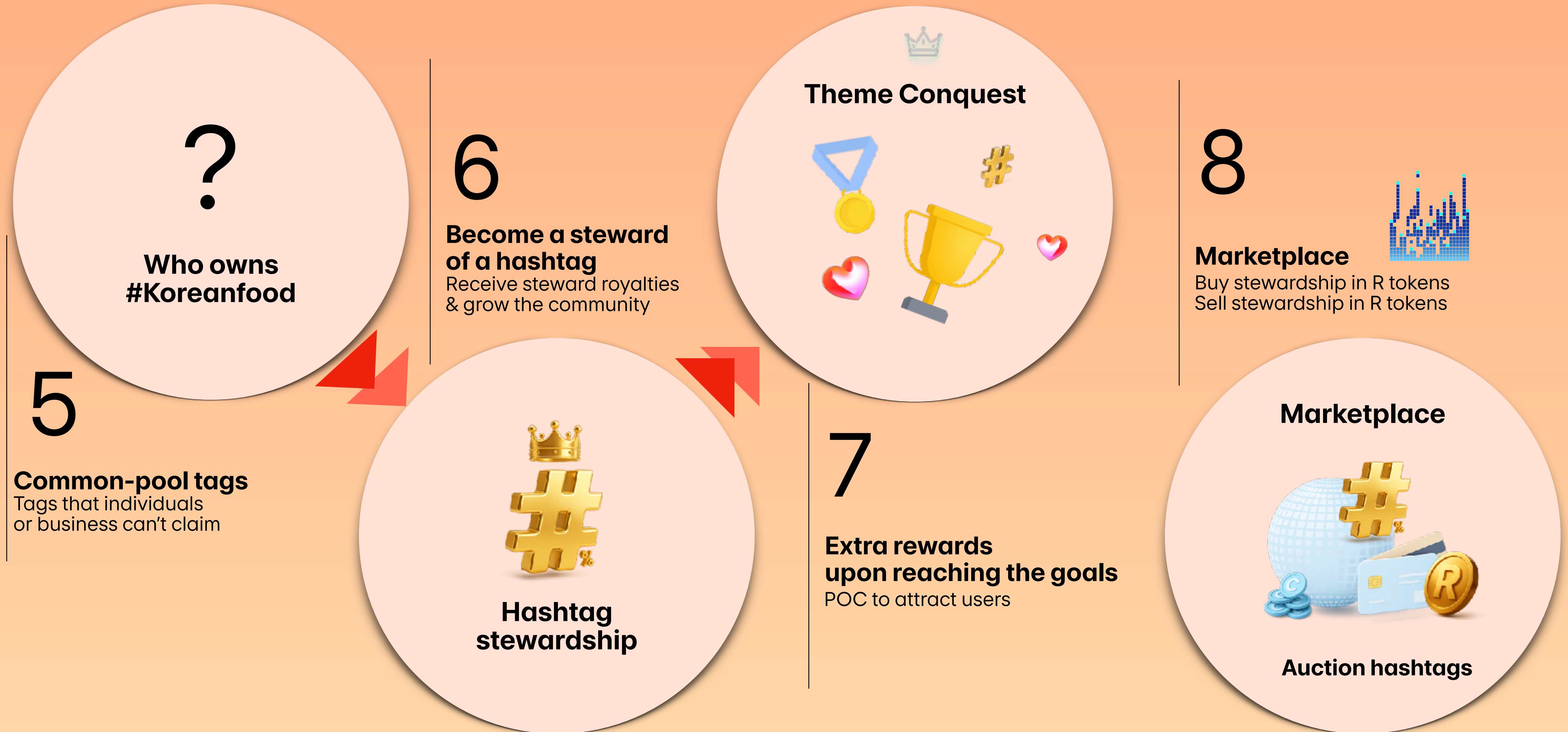
Receipts show accrued royalties

Ledger

#Splendid user account	256 x 1/8 ≈ 0.32R
#Cheeky post owner	256 x 1/8 ≈ 0.32R + 256 x 1/2 ≈ 1.28R ≈ 1.6R
#Restaurant business account	256 x 1/8 ≈ 0.32R
#Koreanfood communal tag	256 x 1/8 ≈ 0.32R

Tag → steward → Resell

Sample story 2 — How community tags circulate and resell value



Digital Economy 3.0

C tokens follow user interactions and transfer between users
Royalties ripple through tags and mint R tokens for every contributor
Users can deduct tokens when reporting abuse, with reclaim mechanics to safeguard both sides

📌 Price management (policy + rails)

- **Public pricing in R:** Ads are sold in R
- **C tokens** remain on the platform
- **Floor policy:**
floor $\approx$ treasury_cash / circulating_R
buybacks defend the floor
sales occur above floor on cadence

💬 Anti-Sybil in the social graph

Earnings couple C spend + exposure:
No top-up without paid exposure or royalty accrual
Account farms: cash-out requires KYC; unverified claims remain locked
Randomized bot behavior: slower mint weight

Token deduction (user report)

Report abuse → token loot
Reclaim tokens to protect free speech
Subject to community review

@ Source of funds (fiat → R)

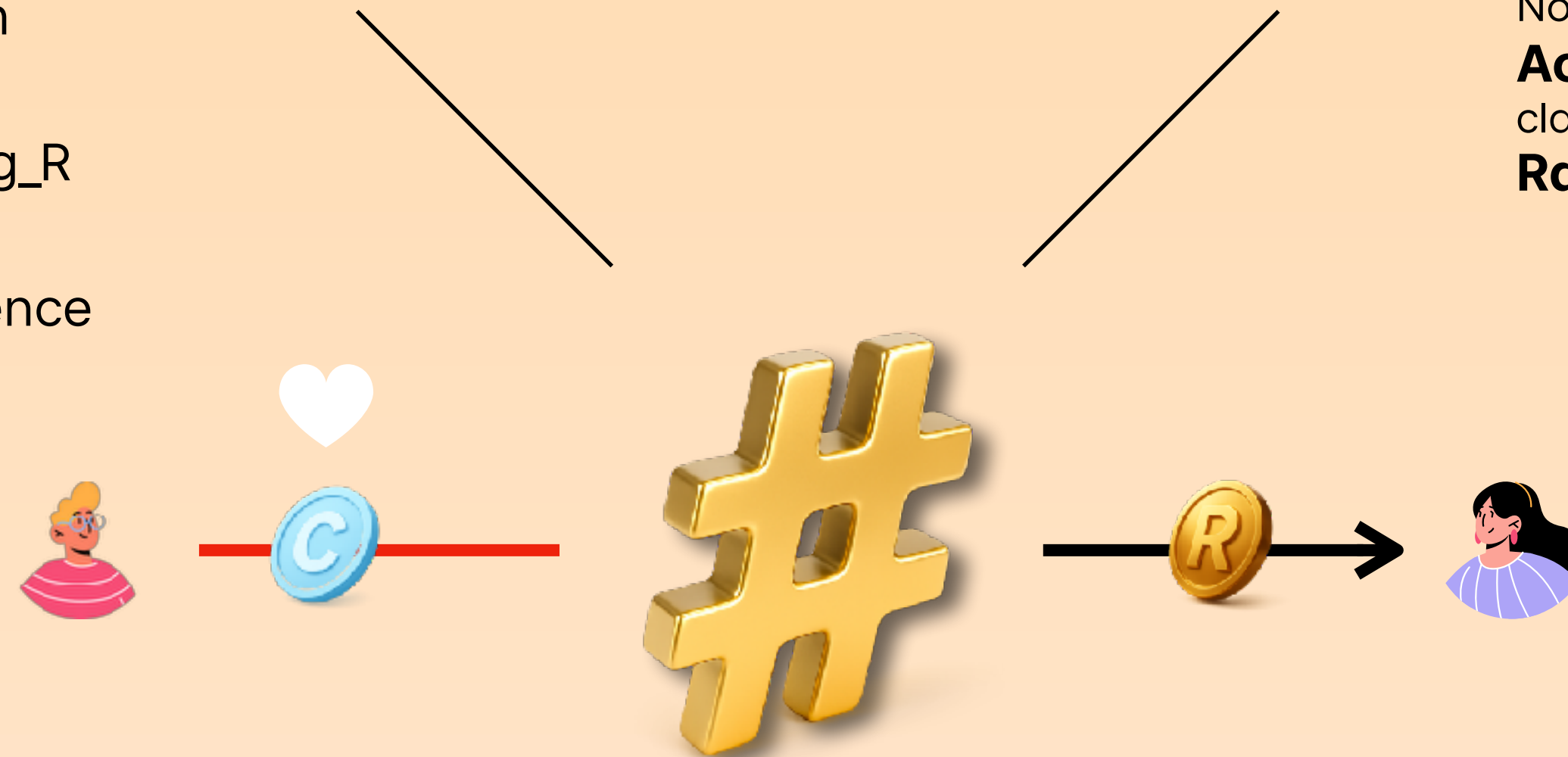
Ads & boosts: buyers pay fiat → platform converts to **R** at the posted price
Platform fees: resale fees and services recycle R back to treasury over time

Loop / use-case

- **Spend R to boost posts** (paid exposure)
- **Pay for stewardship** with R tokens

Marketplace 🏠

Hashtag resale (liquidity + discovery)
Waitlist offers & timed auctions create price discovery for stewardship
Resale fees feed treasury; active stewards grow the tag pot, attracting future buyers
Payment in R tokens



Monetizing Hashtags

Simple wedge to start the economy to build communities



■ Weekly hashtag drops to hashtag sales

- From user wishlists, hashtags are selected and released weekly for reservation
- Users can purchase hashtag stewardship with **R tokens**
- **Waitlists** notify users when a tag becomes available again
- Users earn as **stewards** (royalty split: 10 % stewards / 90 % top contributors)
- Stewards may extend their term (renewal fee) or **resell** their tag
- Waitlisted users are automatically notified of **auctions**

■ Theme conquest mission (POC)

- Each week, selected hashtags earn **additional royalties** (funded by Craters)
- **Milestones** unlock further rewards
- Stewards can boost visibility using **R tokens** to reach higher reward tiers

Cohort & checks

50–100 participants invited to share anything they like - pets, food, remixes, idols

How earnings show up

- **Post owner: Likes = C gifts to you** (wallet → wallet)
- **Viewer: Engaging costs C:** likes/comments transfer your C to the post owner
Spend C → the system surfaces paid exposure (post-boost/ads);
on those exposures your balance **tops up via R → C (top-up)**
No “free earning”: top-ups pair **C spend + exposure**
- **Tagged party:** Verify ownership later to unlock eligible amounts
If unsigned, credits sit as a **reserved claim** until sign-up

Marketplace for Tags (#)



Demo: reserve **#kpop** → boost → **receipts** → wallet → resell

How it works

On Craters, every meaningful interaction generates **receipts** that route royalties. Community tags (e.g., **#kpop**) accrue a shared **Tag Pot**—no permanent owner. Users **reserve or waitlist**, **buy with R**, **steward and earn 10%**, and can later **resell** via waitlist offer or **timed auction**.

Return

Full list

Highly sought

#kpop

Reserve

Available!

You have to drop your current HS tag holding to acquire this one when you get the notification

Related Theme conquest

#kdrama #kfood

← #desserts #kpop #iLoveNY →

See Theme conquest status

Tag Pot card

Receipts: 1,240 · Claimable: 120

You receive 10% of this pot

Claim

Grow tools (Influence)

Feature post (pin strong posts)

View the ranking

Pair with Theme Conquest tag

View themes

Weekly prompt

Write a prompt

Send

Hit your weekly target to unlock +5% activity bonus

Stewardship status

Recruit 5 new creators

Renewal in 7 days

Actions

Drop

Resell to waitlist

View rules

280

Marketplace (list)

Mythical

#OOTD

Current bid 250 R

Bid now

Starting price 200 R

Ends in: 02:14:07

Fees: Resale 5%

Highly sought

#kpop

Final bid 3,280 R

Collect

Starting price 500 R

Ended

Fees: Resale 5%

Highly sought

#seoul

Current bid 2,050 R

Bid now

Starting price 500 R

Ends in: 07:42:25

Fees: Resale 5%

Mythical

#datemyfriend

Current bid 950 R

Bid now

Starting price 700 R

Ends in: 15:28:11

Fees: Resale 5%

Wallet 3,232

Receipts Payouts **Wallet**

Status

Spendable: 2909 R

Floating R (locked): 323 R

In escrow: 0 R

Quota & actions

Engagement meter: 0 likes received & 0 likes given since last claim

You can buy up to: 0 R

Buy R

Rule: Earn 1 R / 5 likes received; and 1 R / 10 likes given out

Purchases appear in Income once completed

Ledger

Date	Item	Amount	Balance
Just now	Digital asset sale #kpop AS-09	+2,952 R	3,232R
1hr ago	R purchase Quota buy QP-12	+65 R	280 R
Oct 16th	Rewards Steward royalty (10%) #kpop TP-48	+12 R	215 R
Oct 15th	Boost spend Reach ~100 outside #kpop BS-77	-10 R	203 R

Income: Rewards (royalty, steward share, marketing returns, ads exposure) · R purchase (from quota) · Digital asset sale

Expense: Boost spend · Asset purchase · Donation · R auto-dissolve → C (stabilizer)

Cash out

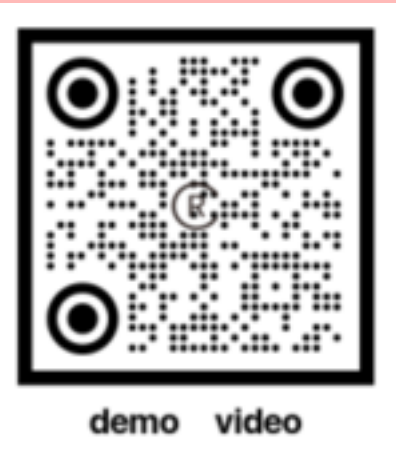
Fiat/stablecoin withdrawals pending compliance

Download CSV

- **Simple wedge:** Weekly hashtag drops; steward 10%, contributors 90%
- **Monetize day 1:** Drop 10R · Renewal 20R · Resale 5% + R quota buys
- **Marketplace flywheel:** Waitlist + timed auctions (soft-close +2m) → price discovery
- **Stability:** C receipts mint → R on cadence; Floating R smooths surges

Watch 75-sec demo

<https://www.craters.co/demo>

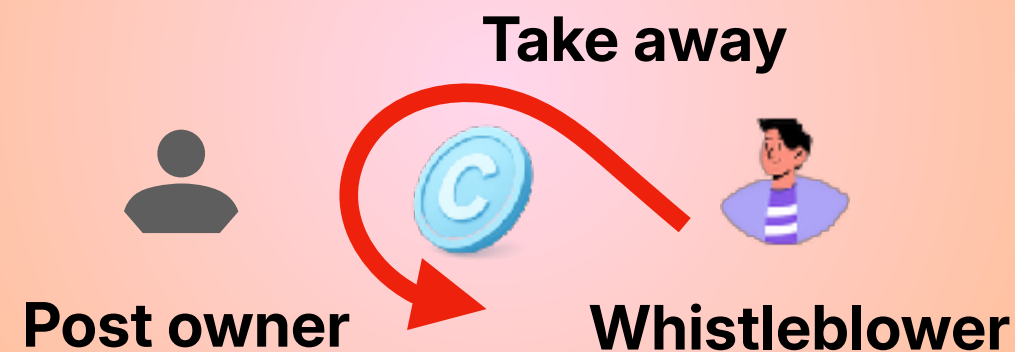


Throttles, Anti-Sybil & Compliance

Ecosystem self-correcting (decentralized accountability)

Self-governing justice system

1) Provisional C deduction (whistleblow)



- Fakenews, spam, privacy invasion, abuse
- Whistleblower can provisionally deduct 1 C from post owner
- **Fast path:** accused can accept (treat as feedback) or **challenge**

2) Open forum & evidence



- Evidence-based discussion; others can stake attention

3) Community jury resolution



- Jury decides final outcome; locked C goes to winner
- **Appeal/overturn** w/ new evidence

Anti-click gaming

(tokenomics-first)

- **Like-swaps / tight rings:** handing C around **doesn't trigger paid exposure** → **no R top-ups** → **no cash-out**
- **Multi-account farms: KYC** needed at cash-out; reserved claims stay locked until verified
- **Macro bots (random views/likes):** randomized interactions **mint slower than meaningful traction; auto-dissolve is capped**
- **Throttles:** epoch minting, R-issuance quotas, per-identity purchase limits, velocity caps

KYC & Compliance

- Token roles: C circulates in-platform; R is cashable
 - **Cash-out = KYC** (sanctions/PEP screening; jurisdictional blocks where required)
 - **Tax:** statements by lot (Purchased/Earned), timestamps & FMV; taxes follow **each user's local law**
 - **Virtual-asset treatment:** disclaimers + user guidance; timing & thresholds vary by jurisdiction
 - **Controls:** AML monitoring, Travel-Rule where applicable, audit log (hash-logged; selective anchors)
-
- **Regulatory note: R is designed as an attention unit (utility).** Classification **may vary by jurisdiction** and **use**. We avoid “investment intent” UX and publish transparent pricing. *(Formal counsel to confirm in launch markets)*

Innate Adoption & Churn Resilience Design

- Unsigned users can accumulate **royalties**



————— **Earn first, join later** —————

1. Fans tag them → royalty credits are routed to that tag (*held as a reserved claim*)
2. Credits continue to **accumulate** as content is exposed
3. When they sign up and verify, **reserved royalties unlock** (*mint/claim per policy*)

- **Walk away and come back**



User leaves; their **C and royalty credits remain** on the platform. Allocation continues per the receipt graph. When they return and verify, **their credits are waiting**

- **Churn resilience:** inactivity **doesn't harm the price-floor policy**; if anything, **R outflow slows** while treasury cash keeps accruing
- **Ad-winter resilience:** internal post-boost + PPL fees sustain accruals even when brand ads slow

Tokenomics & Scalability

~200M+ receipt events/day at 10M users

Receipt graph + public pricing engine + treasury policy

User actions write receipts of C transfers → value accrues to current C holders → on threshold/epoch, R is minted to them

Treasury cash from ads/boosts and strong C retention lift the price floor

■ C allocation & decay (onboarding)



- **C pieces airdrop at sign-up**

(start empty)

- **Supply decays with scale:**

10k per user at launch

→ 1k by 100k users

→ 100 by 10M users

- **Auto-dissolve:**

when C=0,

a capped slice of R → C

so spending never stalls

■ Receipt graph & public pricing engine



User earns not from hoarding
but from spending C tokens

- **User actions → signed receipts**

- Receipts **redistribute C & R** (transfers/splits) across people/items/tags

- **Public pricing engine:**

ad/boost inventory is **priced in R**; at purchase **fiat→R** at the posted price

- **Top-up** (settlement):

when ad/boost value lands, **R is credited to viewers holding C at that moment**

■ R issuance & price-floor policy



- **Two issuance paths for R:**

A) at ad/boost purchase (fiat→R)

B) via user accrual

(settlement → R to C holders)

- **Sinks & buybacks:**

boosts/fees recycle R to treasury;

the platform **buys back R** from users

- **Floor policy (solvency):** public rule

and accounting maintain a **price floor**;

platform sells R **above the floor**

over time *(see the white paper Part 3)*

Lean, Transparent, and Efficient Tech Curation:

Signed Messages, Receipt Engine & On-Chain Anchors

User actions become signed receipts. The Receipt Engine applies a proprietary allocation rule to record value to eligible holders. Periodically, R mints against those recorded credits. Public prices & completed purchases are published (aggregated, no PII); receipts stay private (hash-logged, selectively anchored on-chain)

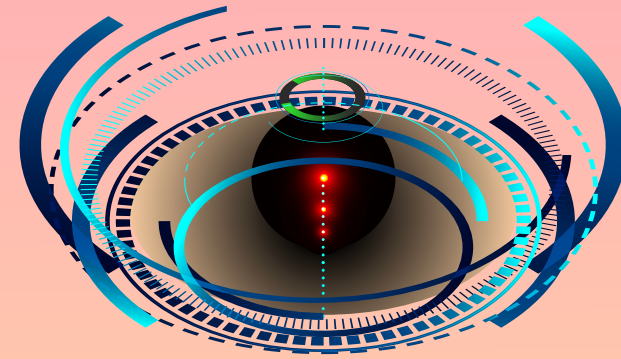


■ Signed messages

User actions are signed;
unsigned events are ignored

Craters User Wallet:

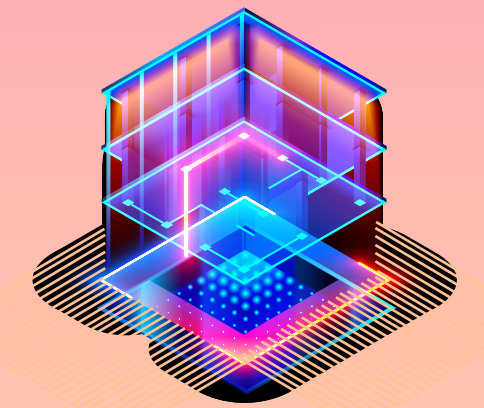
Lots by origin (Purchased/Earned),
timestamps & FMV, settlement credits



■ Receipt Engine (autonomous)

Tamper-resistant runtime;
records value per proprietary rule;
no human knobs

Pricing & Treasury: Inventory priced in R;
fiat→R at posted price; public prices &
completed purchases (aggregated, no PII)



■ Selective on-chaining

Anchor **Merkle roots** and/or
settle only critical flows
(ad buys, treasury ops, P2P)

Transparency log:

Receipt **hashes** for public verifiability;
users keep **private receipts**

Floor $\approx$ treasury_cash / circulating_R. Treasury inflows + strong C retention support the floor; buybacks defend liquidity/floor

Road Map

Pre-seed → Prototype (PoC) → MVP → Seed

Onboarding Strategy

Theme Conquest + steward prompts
increase sell-through and resell velocity

Dev & Op.

Q3 2025

- IR Deck update
- Website update
- PoC calculation
- Architecture frozen
- White paper Part 3

Q4 2025

- Grant application
- Pre-seed raising begins
- Translating to JSON contracts & engine interfaces
- Figma demo update
- Core backend hire

 **Hashtag reservation**
on the website

 **Prototype build**
begins

 **Security & compliance**
checks

 **C token airdrop**
10k → gradual reduction

 **Value injection**
(internal post boost)

 **Tag sales start**
Hashtag reservations
& weekly drops

 **PBW(Paris)**

Q1 2026

- Fiat→R purchase & redemption rails online (treasury ops, posted prices, audit log)
- Cash-out = KYC (sanctions/PEP); counsel memo in-hand

Q2 2026

- Partner alignment
- Press + launch prep
- PoC roll-out

50-100

100 → 1k users
Organic growth:
Tagging & royalty share,
C token airdrop driven

1k

1k → 10k users
viral growth:
Curators
VR filters
Theme conquest rewards
R price rise

10k

Readiness metrics
For the next round

DAU credit coverage: % of DAUs with ≥1 credit event → **Target: 80–95%**

Time-to-first-earn: median from session start → first credit → **Target: ≤2 min**

Receipts throughput: sustained write capacity
→ **Target: ≥10M/day**; p99 write ≤200 ms

C-spend rate: % sessions with ≥1 C transfer
→ **Target: ≥85%** (you're running post-boost; 50% understates your loop)

Tech & Loop Comparison — Farcaster vs Craters

One-liner takeaway: *Craters = rails (onboarding, retention, native economics, settlement). Other Web3 = graph (identity & portability)*

	Farcaster	Craters
Positioning	“Decentralized Twitter”	 Infrastructure for social finance: pricing & settlement of attention at consumer scale
Onboarding & Growth	Crypto-native UX; users join first, then interact	 Zero-friction onboarding: people simply tag unsigned friends/artists; value accrues for them to claim when they join → no wallet prerequisite
Retention & Value Protection	Users must set up wallet manually No protocol price defense	 Churn immunity: C tokens remain on platform, 1 step behind minting R → value persists even if users leave and return
Economic Rail	No native protocol token; monetization via Frames or app-specific integrations	 Dual-token rail (C + R): Public pricing engine ensures solvency and price-floor for buybacks
Privacy & Integrity	Public protocol gossip; integrity depends on hubs and app choices	 Private, verifiable receipts (signed messages, hash-logged); → IP & privacy protection (Royalties split per transaction)
Settlement Logic	No native settlement layer (apps settle independently)	 Built-in receipts + treasury Fiat/stablecoin/cryptocurrency buyback rails Budgeted top-ups, quotas, epochs
Web4 Trajectory	Web3 social graph portability	 Bridges Web2 → Web3 → Web4: tagging becomes authenticated financial settlement rail



Web4 Vision - the Next Internet Settlement Layer

Core Layer Features

- **Marketing returns** — reward loops for content discovery
- **Marketing signal** — C token recirculation from creators to viewers
- **Community tag ownership** — e.g. #food, #pet, #kpop
Timed auctions + waitlist offers
- **Forum & Decentralized court** — token-based dispute resolution

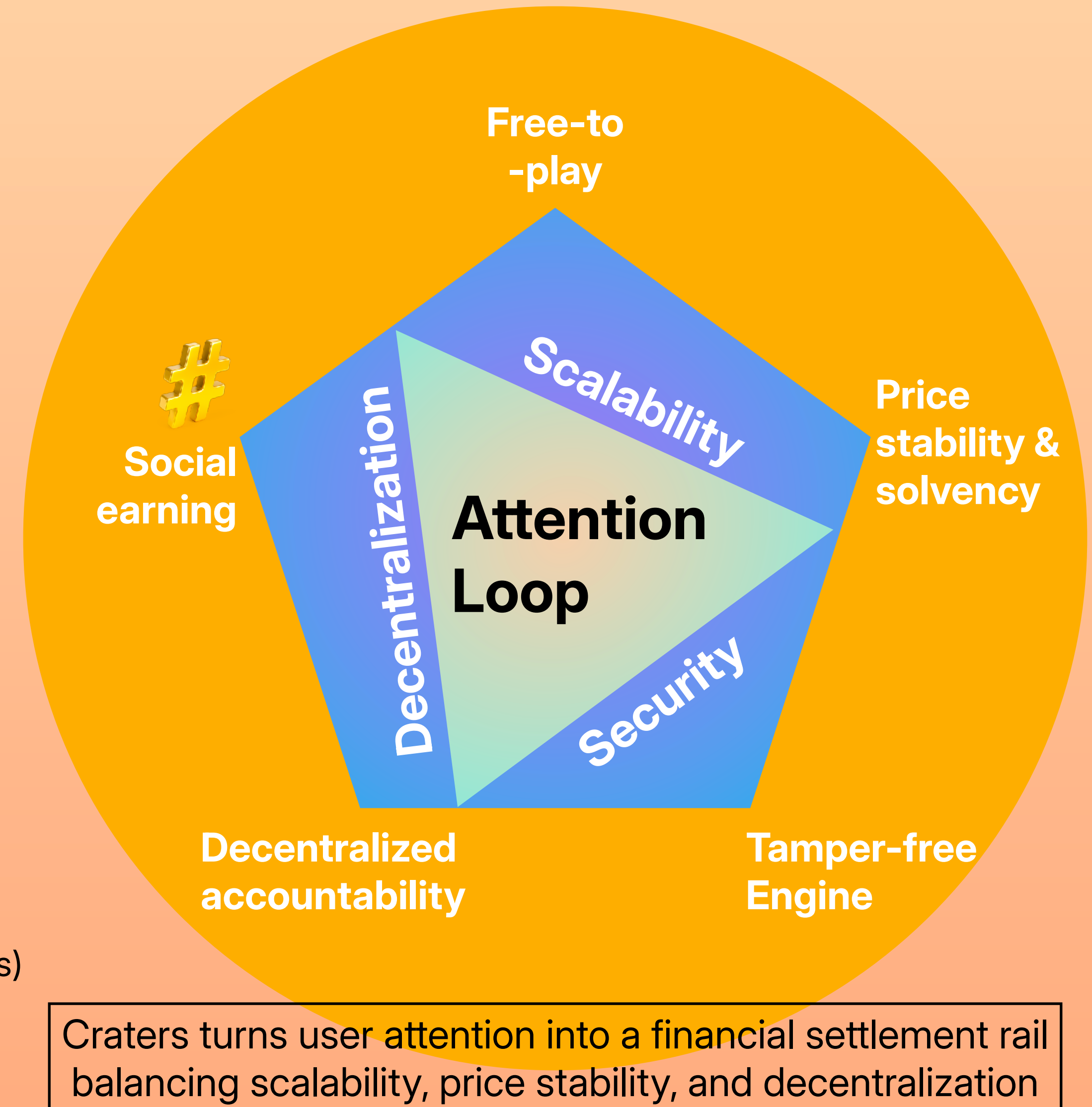
Marketplace Layer

- **R purchase quota** — based on the number of likes given and received
- **Tag stewardship sale**
(users pay R tokens to be steward for each communal tag, then resell)
- **Financial services** — e.g. crowdfunding with C tokens as collaterals

Ecosystem Layer

- **Interoperability** — users can tag their Google reviews (→ Google earns royalties)
- **RWA** — users can tag assets to prove authenticity and market them

—— **Advanced balanced model** ——



Financial Projections & Funding Ask

Revenue streams:

1. Hashtag sales & resell fees

- primary early cashflow via weekly drops + auctions R quota sales
- users purchase R credits tied to their like/tag activity for post boosts & services

2. Ads & boosts (incl. product-placement fees)

- campaigns become signals on Craters → higher engagement & ROI

3. Premium services

- e.g., long-video storage, advanced analytics, paid in R credits

B.E.P. scenarios (illustrative, inputs shown—not guidance)

A. Upside — ID launch + theme-conquest buzz

- Tag sales + C-airdrop decay drive FOMO; users spend R credits to boost; advertisers follow

B. Moderate — steady growth

- Tagging friends/artists; Tag sales moderate; theme buzz present but messy

C. Needs push — marketing-led

- Increase curator bounties/VR filters; expand partner campaigns

(Inputs to show in footnote: MAU, % buyers of premium IDs, ARPPU for R credits, ads RPM)

Total equity raise goal (Pre-seed)

Near-term (rolling SAFE): \$1.0–\$1.5M anchor

*Use of funds (6–8 mo runway): hire 3 senior devs to deliver **prototype (3 mo)** and lock architecture; then expand to 4–6 devs to build **MVP (~9 mo total)** and run open-alpha cohorts*

Full pre-seed close: \$3M

*(stretch \$4M with anchor + grants + prototype traction)
Use of funds: expand team to 10-12, run POC → 1k users, turn tag ID sales & R-quota purchase, 18-mo runway with marketing*

Valuation guidance: \$18–\$25M cap

*(infra-grade with consumer distribution upside)
If pushback, close the anchor at low end and step up post-MVP*

Grants stack strategy

- **Target \$200k–\$450k to MVP** via 5–8 programs (anchor program, stablecoin/payments ecosystem, chain-agnostic “build,” hackathon/prize bounties)
- **Stay chain-agnostic:** offer **post-MVP integration**; let chains bid → bigger cheques



Jieun | Founder Architect & Project Manager

- Architecture, tokenomics, roadmap
- PRDs, experiments, fundraising
- Hiring & cross-role coordination



CIO | Security & Architecture *(to hire)*

- System integrity, key management, data governance
- Compliance-by-design (KYC, audit logs, treasury segregation)
- Incident response & DR drills



CTO | Engine & Economics *(to hire)*

- **Receipt Engine** & hash-chained receipts
- **Pricing board** algorithms (epochs, quotas, buybacks)
- Treasury interfaces; spec/param contracts & sims



Head of Engineering | Platform & Delivery *(to hire)*

- API, wallet, platform services
- DevOps/CI-CD, observability, cost-controls
- Transparency exports; feature-flagged releases (50→1k→10k)



Community & Marketing Manager *(to hire)*

- ID reservations/**Sunrise**, partner/creator bounties, PoC cohorts
- Growth reporting (activation, boost conversion, ID→paid)
- Comms for transparency updates & launches

Tech Team

Architecture is done; funding slots CIO (security/compliance), CTO (engine/pricing), and Head of Eng (delivery) plus a marketing lead for IDs/cohorts. Two-key controls and runbooks keep Craters resilient even if a lead is out

Controls & Resilience

Two-key approvals on pricing/treasury
(CIO + CTO)

Releases via **Head of Eng.** with featureflags

Codeowners, weekly handovers,
quarterly DR drills

Team expansion plan according to funding status